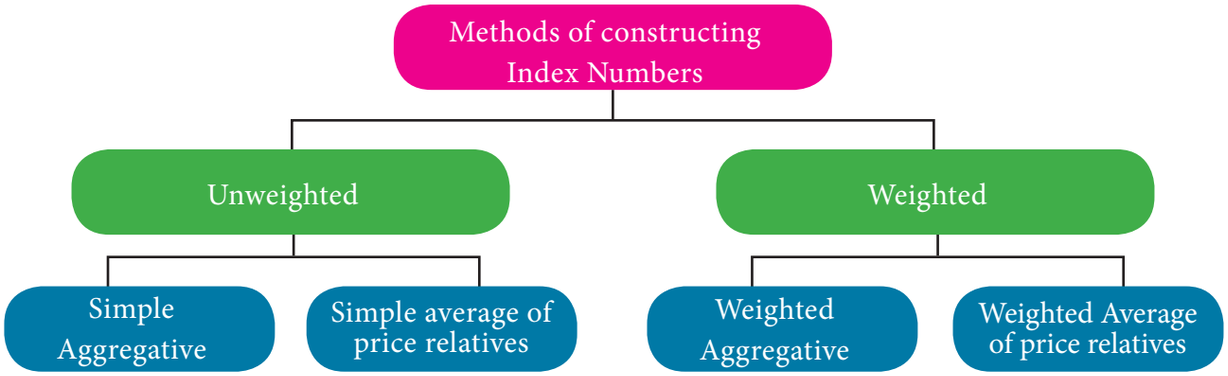
6.3 METHODS OF CONSTRUCTING INDEX NUMBERS

Different types of index number (price/quantity/value) can be classified as follows.



6.3.1 Unweighted Index Numbers

An unweighted price Index Number measures the percentage change in price of a single item or a group of items between two periods of time. In unweighted index numbers, all the values taken for study are of equal importance. There are two methods in this category.

(i) Simple aggregative method:

Under this method the prices of different items of current year are added and the total is divided by the sum of prices of the base year items and multiplied by 100.

$$P_{01} = \frac{\sum p_1}{\sum p_0} \times 100$$

p_1 = Current year prices for various commodities
p_0 = Base year prices for various commodities
P_{01} = Price Index number

NOTE

The base period is the period against which comparison is made. Generally a year is taken as base period. The base period should be free from economic and natural disturbances.

Limitations of the simple aggregative method

(i) Relative importance of the commodities is not taken into account.

(ii) Highly priced items influence the index number

Example 6.1

Construct the Price Index Number for the year 1997, from the following information taking 1996 as base year.

Commodities	Price in 1996 (₹)	Price in 1997 (₹)
Rice	130	115
Wheat	80	65
Sugar	75	70
Ragi	95	90
Oil	105	105
Dal	35	20

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